

HIGH COURT · JUDGMENT DIGEST

M/s Vardhman Ispat Udyog v. Himachal Pradesh State Electricity Board Ltd. & Ors.

CWP No. 4345 of 2023 (with CWP Nos. 1571/2022, 2503/2022, 3972/2023, 9497/2023, 9498/2023 & 2487/2024) | Neutral Citation 2024:HHC:15726 | High Court of Himachal Pradesh, Shimla | reserved 21.11.2024, decided 23 December 2024

COURT	High Court of Himachal Pradesh at Shimla
CORAM	Hon’ble Mr. Justice Sandeep Sharma, Judge (Single Judge)
DATE OF JUDGMENT	23 December 2024 (Reserved 21.11.2024)
NATURE OF PROCEEDING	Writ Petitions under Article 226 of the Constitution of India by industrial consumers (Large Scale Industries) against Himachal Pradesh State Electricity Board Ltd., challenging: (i) demand notices for additional security deposit raised under the Fourth Amendment Regulations, 2021 to the HPERC (Security Deposit) Regulations, 2005; (ii) inaction and refusal to install pre-paid meters in terms of Section 47(5) of the Electricity Act, 2003; and (iii) consequent loss of 3% rebate incentive on energy charges for FY 2022-23 and 2023-24.
PARTIES	Lead petitioner: M/s Vardhman Ispat Udyog, an industrial consumer (also appearing as petitioner in CWP Nos. 2503/2022); other petitioners: MT Autocraft, M/s Kundlas Loh Udyog, M/s Fujikawa Power, M/s Prime Steel Industries Pvt. Ltd. & Anr. v. Respondent: Himachal Pradesh State Electricity Board Ltd. (HPSEBL) and others.
PROVISIONS	Sections 2(15), 2(17), 42, 43, 47 (including sub-sections 1, 2, 3, 4, 5), 50, 55, 181, and 226 (Constitution of India) of the Electricity Act, 2003; HPERC (Security Deposit) Regulations, 2005; HPERC (Security Deposit) (Fourth Amendment) Regulations, 2021; HPERC (Consumer Grievances Redressal and Ombudsman) Regulations, 2013 (Regulations 16, 17, 18); Central Electricity Authority (Installation and Operation of Meters) (Amendment) Regulations, 2019; Electricity Supply Code; Article 226, Constitution of India.
RESULT	Writ Petitions allowed. The demand notices dated 07.03.2022 for additional security raised by the respondent-Board are quashed and set aside. The respondent-Board is directed to make arrangement for supply of electricity to the premises of the petitioners by installing pre-paid meters as per Section 47(5) of the Electricity Act, 2003. The respondent-Board shall grant incentive of 3% rebate to the petitioners from the date of preparedness (16.04.2021) as per tariff order FY 2022-23 and 2023-24. Petitioners directed to pay monthly energy charges in advance; existing security adjusted towards energy charges. Arrangement to continue until Board equipped to provide pre-paid meter. All pending applications disposed; interim directions vacated. ¶ 28

POINT FOR DETERMINATION

1. Whether a consumer who is prepared to take the supply of electricity through a pre-paid meter in terms of Section 47(5) of the Electricity Act, 2003 can be compelled to pay security as contemplated under Section 47(1) of the Act.
2. Whether the Himachal Pradesh Electricity Regulatory Commission (HPERC) has the power under Section 181 of the Electricity Act to frame regulations on the subject matter of Section 47(5), which deals with the exemption from security requirement for pre-paid meter consumers.
3. Whether the amendment of Regulation 4(2) of the HPERC Security Deposit Regulations, substituting the words “is prepared to take” with “takes”, can override or diminish the statutory right conferred by Section 47(5) of the Electricity Act.
4. Whether practical or technical difficulties in the availability or installation of pre-paid meters can be a ground to defeat the rightful claim of a consumer prepared to take supply through a pre-paid meter under Section 47(5).
5. Whether the availability of an alternate remedy (Consumer Grievances Redressal Forum under Regulations 16-18) disentitles petitioners from invoking the extraordinary jurisdiction under Article 226 where there is clear violation of statutory provisions.

FACTS

The petitioners are Large Scale Industries operating in Himachal Pradesh engaged in industrial production; they are consumers of electricity falling under Section 2(15) of the Electricity Act, 2003, and the respondent-Board is the distribution licensee operating in their area of supply under Section 2(17) of the Act.

The petitioners are provided with post-paid meters for measurement of energy consumption and are required to deposit Advance Consumption Deposit (ACD) under Section 47 of the Act and Regulation 3 of the HPERC (Security Deposit) (Fourth Amendment) Regulations, 2021.

On 09.07.2021, HPERC amended the 2005 Regulations (Fourth Amendment), increasing the rates of security for the first time since 2005; subsequently, on 07.03.2022, the respondent-Board issued demand notices raising demands for additional security, varying in amount across the petitions.

In parallel, the petitioners, vide communications dated 16.04.2022, 06.05.2023, and 18.05.2023, repeatedly requested the respondent-Board to install pre-paid meters under Section 47(5) of the Act and to withdraw the demand notices, citing that pre-paid meter consumers are exempt from security deposits and entitled to a 3% rebate on energy charges as per Tariff Orders for FY 2022-23 and 2023-24.

The respondent-Board refused to accede to these requests on the grounds that: (a) pre-paid meters are not technically feasible for high-voltage industrial connections (11 kV, 33 kV, 66 kV, 132 kV, 220 kV) which require CT/PT arrangements, as the specification limits for pre-payment meters (600 V line-to-line voltage and 50 Amp current) are much lower; and (b) the petitioner had filed a writ petition challenging the Fourth Amendment Regulation itself.

REASONING OF THE COURT

HEADNOTE

When a consumer expresses preparedness to take the supply of electricity through a pre-paid meter, the distribution licensee is statutorily bound under Section 47(5) of the Electricity Act, 2003 not to demand security. This right cannot be overridden or diluted by State Regulations framed under Section 181, as Section 181 does not empower the State

Commission to frame regulations modifying or restricting the operation of Section 47(5). The amendment of Regulation 4(2), substituting “is prepared to take” with “takes”, does not override the statutory mandate because Section 47(1) itself is expressed to be subject to Section 47(5). Practical or infrastructural difficulties in providing pre-paid meters cannot defeat the statutory obligation of the licensee. Despite the non-availability of pre-paid-meter technology suitable for high-voltage consumers, the licensee must continue to supply electricity by collecting advance monthly energy charges without insisting on security until such technology is made available.

Section 47 of the Electricity Act establishes a framework for security deposits subject to the provisos and carve-outs contained therein. Section 47(1) permits a distribution licensee to require reasonable security from any person requiring electricity supply, and Section 47(3) permits disconnection if security is not provided. However, these provisions are expressed to be subject to the provisions contained in that section itself, including Section 47(5). Section 181(2)(v) empowers the State Commission to make regulations for reasonable security payable under Section 47(1), and Section 181(2)(w) empowers it to make regulations for payment of interest on security. ¶ 16–17

Section 47(5) creates a mandatory exemption from the security requirement for consumers prepared to take pre-paid supply; it is not subject to regulation. Section 47(5) provides that a distribution licensee “shall not be entitled to require security” if the person requiring supply is prepared to take it through a pre-paid meter. The use of the word “shall not” is mandatory, and this provision is framed as an exception to Section 47(1). Critically, Section 181 does not contain any clause empowering the State Commission to frame regulations on the subject matter of Section 47(5); clauses (v) and (w) of Section 181(2) relate only to security under Section 47(1) and interest on security under Section 47(4). The absence of a specific clause in Section 181(2) permitting regulation of Section 47(5) means the State Commission lacks the power to frame any regulation modifying or restricting the operation of Section 47(5). ¶ 20–21

The amendment of Regulation 4(2), changing “is prepared to take” to “takes”, cannot override the statutory mandate of Section 47(5). Although the amended regulation provides that if a person “takes” (rather than “is prepared to take”) the supply through a pre-paid meter, the licensee shall not collect security deposit, this amendment does not modify the underlying statutory duty. Once a consumer expresses preparedness, Section 47(5) mandates that the licensee ‘shall not be entitled to require security’. The change in regulatory language cannot enlarge the licensee’s power to demand security in the interim period. Rights granted under the parent Act cannot be taken away by regulations framed thereunder; the hierarchy of legal instruments is clear. ¶ 19, 22

The Karnataka High Court in Universal Air Products and the Orissa High Court in Maruti Steel Moulding have held that when a consumer is prepared to take supply through a pre-paid meter, the licensee must provide it or, if unavailable, must supply electricity without insisting on security. In Universal Air Products Private Limited v. Bangalore Electricity Supply Company Limited (Writ Appeal No. 6342 of 2017), the Karnataka High Court upheld the decision that when a pre-paid meter is not available, the licensee must supply electricity by collecting approximate monthly energy charges in advance without insisting for any security under Section 47(1). In Maruti Steel Moulding Private Limited v. O.E.R.C. and others (2015 SCC OnLine Ori. 514), the Orissa High Court held that if a consumer expresses willingness to avail supply through a pre-paid meter, the supplier is obliged under law to provide the same, and failure to do so on the ground of unavailability is not permissible. These decisions establish that the statutory obligation is not merely to provide a pre-paid meter when available, but to secure the supply to the consumer in consonance with their preparedness. ¶ 22–23

The Punjab and Haryana High Court in Dasmesh Alloys affirmed the same principle: Section 47(1) is subject to Section 47(5), and regulations framed for Section 47(1) cannot affect Section 47(5). In M/s Dasmesh Alloys v. Punjab State Power Corporation Limited (CWP No. 22544 of 2018, judgment 17.03.2023), the Court held that Section 47(1) is subject to Section 47(5), not vice versa, and that the power to make regulations under Section 181 is governed by that section. The Commission can make regulations for reasonable security under Section 47(1), but Section 181(2)

nowhere permits regulations to be made for matters under Section 47(5). Therefore, regulations framed for Section 47(1) can have no effect over Section 47(5). ¶ 24–25

Although an alternate remedy (CGRF) exists, the petitioners are entitled to invoke Article 226 jurisdiction where there is a clear violation of statutory provisions and inaction by the licensee. The respondent contended that the petitions are not maintainable as the petitioner has an alternate remedy to approach the Consumer Grievances Redressal Forum under Regulations 16-18. However, the Court held that the availability of an alternate remedy does not ipso facto disentitle petitioners from invoking Article 226 jurisdiction when there is a clear violation of statutory provisions (Section 47(5)) and inaction of the Board in implementing the statutory mandate. The challenge is not merely to the demand notice but also to the inaction in providing pre-paid meters, which is a distinct statutory duty. ¶ 26

While the Court acknowledges practical difficulties faced by the licensee, such difficulties cannot override the statutory obligation. The respondent pointed to technical difficulties in providing pre-paid meters to high-voltage consumers, citing Ministry of Power notification dated 17.08.2021 on the Central Electricity Authority (Installation and Operation of Meters) (Amendment) Regulations, 2019, which specifies that high-current consumers shall be provided with smart meters having AMR facility (not prepaid feature). However, the Court held that practical or infrastructural difficulties do not defeat the rightful claim of a consumer; rather, best efforts should be made by the respondent-Board to make arrangements for supply in accordance with the law. Section 42 of the Act itself casts a duty on the licensee to develop and maintain an efficient, coordinated and economical distribution system. ¶ 27

INTERPRETATION OF THE ELECTRICITY STATUTES

STATUTORY HIERARCHY; REGULATORY POWER; CONSUMER RIGHTS; PRE-PAID METERS UNDER ELECTRICITY ACT, 2003

Section 47(5), Electricity Act, 2003 — Mandatory Exemption from Security for Pre-paid Meter Consumers

Section 47(5) provides that a distribution licensee “shall not be entitled to require security” if the person requiring supply is prepared to take it through a pre-paid meter. This is a mandatory provision creating an unconditional exemption and is not subject to regulation by the State Commission under Section 181. The word “shall not” indicates an absolute bar, and this provision operates as a limit on the licensee’s power to demand security under Section 47(1). Once a consumer expresses preparedness to take pre-paid supply, the licensee loses its right to insist on security, and this right cannot be retrieved through regulation. ¶ 18–19

Section 181, Electricity Act, 2003 — Scope of Regulatory Power; Absence of Authority over Section 47(5)

Section 181(2) lists specific matters for which the State Commission may frame regulations. Clauses (v) and (w) authorize regulations for “reasonable security payable to the distribution licensee under sub-section (1) of section 47” and “payment of interest on security under sub-section (4) of section 47” respectively. Significantly, there is no clause in Section 181(2) empowering the Commission to frame regulations modifying or restricting Section 47(5). This lacuna is not accidental; it reflects the legislative intent that Section 47(5) is a statutory mandate not subject to regulatory dilution. The power to frame regulations is limited to matters explicitly enumerated in Section 181(2), and any regulation framed in the exercise of power for Section 47(1) cannot have effect on Section 47(5). ¶ 20–21

Regulation 4(2), HPERC (Security Deposit) (Fourth Amendment) Regulations, 2021 — Amendment Cannot Override Statutory Mandate

The Fourth Amendment changed Regulation 4(2) by substituting “is prepared to take” with the word “takes”. While on its face this might appear to narrow the class of consumers exempt from security, it does not effect any change in the underlying statutory obligation. Section 47(5) itself is the source of the obligation, and the regulation is subordinate to

it. The change in regulatory language cannot alter the statutory duty, which is mandatory and infeasible. A regulation cannot be read to enlarge the licensee's power or to narrow a statutory exemption; to do so would be to read a regulation as overriding the statute, which is impermissible. ¶ 19

Practical Non-Availability of Pre-paid Meters — Does Not Excuse Statutory Obligation

The respondent-Board argued that pre-paid meters are not technically feasible for high-voltage industrial connections (11 kV and above with CT/PT arrangements) because the technical specifications of pre-paid meters (600 V line-to-line voltage, 50 Amp current) are much lower than industrial load requirements. However, the Court held that this practical or infrastructural difficulty does not defeat the statutory obligation. The appropriate remedy in such circumstances is for the licensee to continue to supply electricity to a consumer prepared for pre-paid supply by collecting advance monthly energy charges without insisting on security, until such technology is made available. This approach balances the consumer's statutory right with the licensee's practical constraints. Section 42 of the Act, which casts a duty on the licensee to develop an efficient distribution system, reinforces this obligation. ¶ 27

RATIO DECIDENDI

When a consumer expresses preparedness to take the supply of electricity through a pre-paid meter, the distribution licensee is statutorily bound under Section 47(5) of the Electricity Act, 2003 not to demand security. This statutory right is mandatory and unconditional, and cannot be overridden or diluted by State Regulations framed under Section 181. The State Commission has no power under Section 181 to frame regulations modifying or restricting Section 47(5), as Section 181 does not enumerate Section 47(5) as a subject for regulation. The amendment of Regulation 4(2) changing "is prepared to take" to "takes" does not override this mandate because Section 47(1) is itself subject to Section 47(5). Practical or technical difficulties in providing pre-paid meters do not excuse the licensee's statutory obligation; where pre-paid meters are not available, the licensee must continue to supply electricity to a consumer prepared for such supply by collecting advance monthly energy charges without insisting on security. The consumer is entitled to the benefit of any incentive (such as a 3% rebate) offered for pre-paid supply from the date of expressing preparedness, not from the date of actual installation.

ALSO HELD & OBITER

- **Alternative remedy does not bar Article 226 jurisdiction where statutory violation is clear.** Although the Consumer Grievances Redressal Forum (under Regulations 16-18) provides an alternate remedy, the availability of that remedy does not disentitle petitioners from invoking extraordinary writ jurisdiction under Article 226 when there is a clear violation of statutory provisions and inaction by the State authority. This principle was endorsed by the Orissa High Court in *Maruti Steel Moulding*. ¶ 26

DISPOSITION

All the Writ Petitions are allowed. The demand notices for additional security dated 07.03.2022 (and any related demand notices) issued by the respondent-Himachal Pradesh State Electricity Board Limited are hereby quashed and set aside. The respondent-Board is directed to make arrangement for supply of electricity to the premises of the petitioners by installing pre-paid meters as per the provision contained under Section 47(5) of the Electricity Act, 2003. The respondent-Board shall grant the incentive of 3% rebate to the petitioners from the date of their preparedness (i.e., 16.04.2021) to take prepayment meter supply as per the Tariff Order for FY 2022-23 and FY 2023-24. The petitioners are directed to pay monthly energy charges in advance, and any amount of security lying with the respondent-Board shall be adjusted towards energy charges. This arrangement shall continue until the respondent-Board is equipped to provide pre-paid meters to the petitioners. All pending applications stand disposed of. Interim directions in all the cases stand vacated. ¶ 28

SIGNIFICANCE

A landmark reaffirmation of the mandatory character of Section 47(5) and the limits of the regulatory power under Section 181. Three core propositions emerge:

- **Statutory rights under the parent Act cannot be overridden by subordinate regulations.** The judgment clarifies that rights conferred by the Electricity Act, 2003 (such as the exemption from security under Section 47(5)) cannot be taken away or restricted by State Regulations framed under Section 181. The enumeration of matters in Section 181(2) defines the limits of the State Commission’s regulatory power; matters not listed (such as Section 47(5)) remain within the sphere of the statute and cannot be subject to regulatory modification.
- **Section 47(5) operates as an independent and unconditional mandate, not as a discretionary benefit.** Consumer preparedness to take supply through a pre-paid meter creates a statutory obligation on the licensee, not merely a permission. The licensee cannot refuse or defer compliance on the basis that pre-paid meters are not currently available or not technically suitable for the consumer’s load. The right is vested in the consumer, and the duty to perform is vested in the licensee, irrespective of infrastructural readiness.
- **In the absence of suitable pre-paid technology, the licensee must devise interim arrangements to honor the statutory right.** Where pre-paid meters are not technically feasible (as in the case of high-voltage consumers), the licensee must find an interim solution—such as collecting advance monthly charges without security—to comply with the statutory mandate. The practical unavailability of the ideal technology does not absolve the licensee of its obligation; it shifts the obligation to provide a functional equivalent that honors the statutory principle (elimination of security requirement and access to related benefits such as rebates).
- **Regulatory amendment changing “is prepared” to “takes” does not narrow the statutory exemption.** The Fourth Amendment’s linguistic change cannot be read to restrict the class of consumers exempt from security. Such a reading would render the regulation inconsistent with the statute, which is impermissible. Regulations must be read in harmony with the statute; a regulation that appears to contradict or restrict a statutory exemption is invalid to the extent of the inconsistency.
- **Incentive benefits (e.g., rebate on energy charges) accrue from the date of statutory preparedness, not from the date of actual implementation.** Where tariff regulations offer incentives (such as a 3% rebate) for pre-paid-meter consumers, and the consumer has expressed preparedness, the accrual of the benefit dates from the expression of preparedness, not from the eventual installation of the meter. This ensures that the consumer’s statutory right is given full effect.

TABLE OF AUTHORITIES

Authorities substantively discussed by the Court in its reasoning, showing the treatment (applied, distinguished, cited, or relied upon) and the specific proposition each advances.

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Electricity Act, 2003</i> Act No. 36 of 2003 · Statutory	Sections 2, 43, 47 (including sub-sections 1–5), 50, 55, 85, 86, 181, and 226 establish the framework for distribution of electricity, the requirement and exemption for security deposits, and the regulatory powers of State Commissions. Section 47(5) mandates that a licensee shall not require security if a person is prepared to take supply through a pre-paid meter.	Applied as the foundational statutory framework; Section 47(5) interpreted as mandatory and unconditional, and Section 181 interpreted as not conferring power to regulate Section 47(5). (¶16–20)	Applied
<i>HPERC (Security Deposit) Regulations, 2005</i> Notification No. HPERC/414, dated 03.03.2005 · Statutory (Regulations)	Regulation 3 requires every person wanting supply to give security; Regulation 4(2) provided that if any person is prepared to take supply through a pre-paid meter, the licensee shall not collect security. These regulations were framed in exercise of powers under Section 181(2) (v) and (w) and Section 47.	Cited as the regulatory framework establishing the initial rule and its pre-paid meter exception; applied to show the hierarchy of statutory mandate over regulation. (¶15, 17)	Cited

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
HPERC (Security Deposit) (Fourth Amendment) Regulations, 2021 Amendment dated 09.07.2021 · Statutory (Regulations)	Amended Regulation 4(2) by substituting “is prepared to take” with “takes”, thereby ostensibly restricting the exemption to consumers actually taking (rather than being prepared to take) supply through pre-paid meters. Also increased security rates for the first time since 2005.	Discussed and held to be inapplicable to override the statutory mandate of Section 47(5); the change in language does not alter the underlying statutory duty. (¶5–6, 19, 22)	Distinguished
Central Electricity Authority (Installation and Operation of Meters) (Amendment) Regulations, 2019 Ministry of Power notification dated 17.08.2021 · Statutory (Central Regulations)	Specifies the timelines for replacement of existing meters with smart meters having prepayment feature; provides that high-current consumers (beyond limits specified in IS 15884) shall be provided with smart meters having AMR facility (not prepayment mode).	Cited by respondent to argue technical infeasibility of pre-paid meters for high-voltage consumers; acknowledged by Court but held not to override the statutory duty under Section 47(5). (¶9, 27)	Cited (respondent’s argument, acknowledged but distinguished)

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Universal Air Products Private Limited v. Bangalore Electricity Supply Company Limited</i> Writ Appeal No. 6342 of 2017 (Karnataka High Court) · High Court of Karnataka	The Karnataka High Court upheld the holding that in view of Section 47(5) of the Electricity Act, 2003, if a person requiring supply is prepared to take it through a pre-paid meter, he shall not be liable to furnish security. Where pre-paid meters are not presently available, the licensee (BESCOM) must supply electricity by collecting approximate monthly energy charges in advance without insisting for security, and existing deposits shall be adjusted towards energy charges.	Applied by this Court as direct precedent supporting the mandatory nature of Section 47(5) and the duty to supply electricity in the absence of pre-paid-meter technology by collecting advance monthly charges without security. (¶22)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>Maruti Steel Moulding Private Limited v. O.E.R.C. and others</i> 2015 SCC OnLine Ori. 514 (Orissa High Court) · High Court of Odisha	The Orissa High Court held that if a consumer expresses willingness to avail supply through a pre-paid meter, the supplier is obliged under law to provide the same, as it is otherwise beneficial for the consumer. The absence of pre-paid-meter availability is not a ground to exonerate the supplier; the provisions of the Act and Regulations are clear and specific with no ambiguity.	Applied by this Court to establish that the statutory obligation to provide pre-paid meters is unconditional and not excused by practical non-availability. Also cited for the principle that alternative remedies do not bar writ jurisdiction in cases of clear statutory violation. (¶23, 26)	Applied

AUTHORITY	PROPOSITION	HOW IT WAS USED IN THIS JUDGMENT	TREATMENT
<i>M/s Dasmesh Alloys v. Punjab State Power Corporation Limited and others</i> CWP No. 22544 of 2018 (Punjab and Haryana High Court), judgment dated 17.03.2023 · High Court of Punjab and Haryana	The Court held that Section 47(1) of the Electricity Act, 2003 is subject to Section 47(5), not vice versa. The power to make regulations vested in the State Commission is governed by Section 181. The Commission can make regulations for reasonable security under Section 47(1), but Section 181(2) nowhere permits regulations for matters under Section 47(5). Therefore, regulations framed under Section 181 for Section 47(1) can have no effect over Section 47(5).	Applied by this Court as controlling precedent on the hierarchical relationship between statute and regulation, and on the limited scope of Section 181 regulatory power, which does not extend to Section 47(5). (¶24–25)	Applied

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.